

Elias Range Stays

FINANCIAL PLAN — VERSION B

Grant-Funded / No Investor Structure

HEALTHCARE WORKFORCE HOUSING HUB — DAWSON CREEK, BC South Peace Mackenzie Trust Submission · March 2026

PLAN B — GRANT-FUNDED ALTERNATIVE

Project Financial Plan: NRCan OSCC Grants + LVCU for Remainder — No Investors

This alternative financial plan models the project assuming NRCan OSCC Phase 1 (\$180,000) and Phase 2 (\$10,000,000) grants are awarded, along with the South Peace Mackenzie Trust contribution (\$250,000). Under this scenario, investor equity is not required and the remainder is funded by LVCU. This plan is presented as a template — actual figures depend on grant award amounts and terms.

PLAN B — CORE PREMISE

What Changes When Grants Replace Investors

PLAN A — WITH INVESTORS

- \$5,318,600 equity from Fulmer & Co. (35% stake)
- Investors receive 35% of project equity
- \$9,877,400 LVCU construction mortgage
- Grants supplementary / reduce debt
- Total: \$15,196,000

PLAN B — GRANTS + LVCU ONLY

- \$10,430,000 in grants (OSCC Ph1 + Ph2 + SPMTrust)
- No investor equity — 100% ownership retained
- LVCU funds the remaining \$4,766,000
- Significantly lower debt service
- Total: \$15,196,000

Key Benefit of Plan B: Elias Range Development retains 100% equity ownership and avoids the 35% dilution to investors. The NRCan OSCC Phase 2 grant (\$10M) essentially replaces the investor capital. The tradeoff is dependency on grant approvals — which are not guaranteed.

SECTION 1 — CAPITAL STACK (PLAN B)

Sources of Funds — Grant + LVCU Structure

FUNDING SOURCE	AMOUNT	% OF COST	TYPE	STATUS
NRCan OSCC — Phase 2 (primary)	\$10,000,000	65.8%	Federal grant — non-dilutive, non-repayable	To be submitted

FUNDING SOURCE	AMOUNT	% OF COST	TYPE	STATUS
NRCan OSCC — Phase 1	\$180,000	1.2%	Federal grant — non-dilutive	Submitted March 2026
South Peace Mackenzie Trust	\$250,000	1.6%	Regional grant / contribution	This application
Total Grant Funding	\$10,430,000	68.6%		
Developer equity (land — already owned)	\$600,000	3.9%	Land contribution	Confirmed
Lake View Credit Union (remainder)	\$4,166,000	27.4%	Construction mortgage — reduced from Plan A	Discussion Paper basis
TOTAL PROJECT COST	\$15,196,000	100%	Fully funded without investor equity	

Grant Dependency Note: This plan is contingent on the NRCan OSCC Phase 2 award of \$10,000,000. Phase 2 has not yet been submitted. If Phase 2 is partially awarded or delayed, the LVCU component would increase proportionally, or a bridge financing solution would be required. The SPMTrust \$250,000 and OSCC Phase 1 \$180,000 are in progress and do not on their own replace investor equity.

SECTION 2 — LVCU LOAN UNDER PLAN B

Reduced Mortgage — Better Lending Position

TERM	PLAN A	PLAN B	DIFFERENCE
LVCU + Syndication mortgage amount	\$9,877,400	\$4,166,000	–\$5,711,400
Loan-to-value (on \$15.2M cost)	65%	27.4%	Much lower LTV — stronger position
Interest rate (Prime + 2%)	8.45%	8.45%	Same
Annual interest (approx., on outstanding balance)	~\$835,000	~\$352,000	–\$483,000/year
Required equity injection before advances	\$5,318,600 (investors)	\$600,000 (land) + grants	No investor injection required
Equity dilution	35% to	0% — 100%	Entire upside retained

SECTION 3 — NORTHERN HEALTH LEASE RATES & PRO FORMA UNDER PLAN B

Revenue Model — Northern Health Master Lease Framework

Identical revenue assumptions to Plan A. All 32 units fully furnished, all-inclusive, leased to Northern Health at differentiated rates by unit type. Rates represent 20–30% savings vs. hotel for Northern Health while generating strong returns for ERS.

UNIT TYPE	COUNT	NH MONTHLY RATE	OCCUPANCY	ANNUAL REVENUE
Studio / 1-Bedroom (56m ² avg)	16	\$4,200/month	92%	\$741,888
2-Bedroom Type A (68m ² avg)	8	\$5,200/month	90%	\$449,280
2-Bedroom Type B (74m ² avg)	8	\$5,500/month	90%	\$475,200
Residential Subtotal	32	\$4,800 blended avg	91%	\$1,666,368
Commercial (Café + Community Hall + YMCA BC)	3	\$2,200– \$4,800/mo	100%	\$126,000
GROSS EFFECTIVE REVENUE (Year 1)	35	—	—	\$1,792,368

Pro Forma — Years 1 & 2

LINE ITEM	YEAR 1	YEAR 2	NOTES
Gross Effective Revenue	\$1,792,368	\$1,819,254	NH lease rates; 1.5% annual growth
Operating Expenses (27.1%)	(\$486,560)	(\$493,859)	Same as Plan A
Net Operating Income (NOI)	\$1,305,808	\$1,325,395	Same NOI as Plan A
Annual Debt Service — Plan B (\$4,166,000 @ 8.45%, 25yr)	(\$400,866)	(\$400,866)	Actual mortgage constant — reduced LVCU facility
Net Cash Flow (Pre-Tax)	\$904,942	\$924,529	vs. \$355,372 in Plan A
Debt Service Coverage Ratio (DSCR)	3.257×	3.306×	Exceptional — no investor dilution
Cash-on-Cash Return (on \$600K land equity)	150.8%	154.1%	Full ownership retained
Implied Market Value (7.25% cap)	\$18,011,000	\$18,281,000	Same as Plan A — same NOI

Plan B Cash Flow Advantage with NH Lease Rates: With the correct NH lease rates AND the reduced LVCU facility from grants, net cash flow reaches **\$904,942/year** — vs. \$355,372 under Plan A. DSCR of 3.257× is well above any lender threshold. The combination of NRCan OSCC grants eliminating investor dilution and Northern Health lease rates driving strong revenue makes Plan B the superior outcome on every metric.

SECTION 4 — SIDE-BY-SIDE COMPARISON

Plan A vs. Plan B — Key Metrics

PLAN A — WITH INVESTORS \$355,372/yr Net cash flow Year 1 (NH lease rates) DSCR: 1.374× · Equity: 65% Investors own 35%		PLAN B — GRANTS + LVCU \$904,942/yr Net cash flow Year 1 (NH lease rates) DSCR: 3.257× · Equity: 100% Full ownership retained	
METRIC		PLAN A — INVESTORS + LVCU	PLAN B — GRANTS + LVCU
Total project cost		\$15,196,000	\$15,196,000
LVCU debt required		\$9,877,400	\$4,166,000
Investor equity required		\$5,318,600	\$0
Grant funding applied		Supplementary	\$10,430,000 (primary)
Gross revenue (NH lease rates)		\$1,792,368	\$1,792,368
NOI		\$1,305,808	\$1,305,808
Annual debt service (actual)		\$950,436	\$400,866
Year 1 net cash flow		\$355,372	\$904,942
Year 1 DSCR		1.374×	3.257×
Completed value @ 7.25%		\$18,011,000	\$18,011,000
Developer ownership		65%	100%
Grant dependency		Low — executable now	High — OSCC Phase 2 required
Recommended scenario		Primary — proceed regardless of grants	Preferred — pursue in parallel

SECTION 5 — RECOMMENDATION

How to Use Both Plans

Plan A (Investor + LVCU) is the primary financing strategy — it is executable without grant approval, uses the confirmed LVCU Discussion Paper terms, and allows the project to proceed regardless of OSCC outcome. The 35% equity dilution is the cost of certainty.

Plan B (Grants + LVCU) is the preferred outcome — it preserves 100% ownership, generates dramatically better cash flow, and requires a much smaller LVCU facility. It should be pursued in parallel with Plan A. If the NRCan OSCC Phase 2 grant is awarded, the investor component is retired and Plan B becomes the active structure.

For the South Peace Mackenzie Trust: The \$250,000 contribution is applicable under either plan. Under Plan A it reduces the LVCU requirement marginally. Under Plan B it contributes to the grant stack that replaces investor equity entirely.

PREPARED BY

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